

is generally appreciated throughout the financial community. Consequently for years XYZ stock has sold for from twenty to thirty times current earnings. This is nearly twice as much for each dollar earned as the sales price of the average stock that has made up, say, the Dow Jones Industrial Averages.

Today this stock is selling at just twice the price-earnings ratio of the Dow Jones averages. This means that its market price is twice as high in relation to each dollar it is earning as is the average of the stocks comprising these Dow Jones averages in relation to each dollar they are earning. The XYZ management has just issued a forecast indicating it expects to double earnings in the next five years. On the basis of the evidence at hand, the forecast looks valid.

Whereupon a surprising number of investors jump to false conclusions. They say that since XYZ is selling twice as high as stocks in general, and since it will take five years for XYZ's earnings to double, the present price of XYZ stock is discounting future earnings ahead. They are sure the stock is overpriced.

No one can argue that a stock discounting its earnings five years ahead is likely to be overpriced. The fallacy in their reasoning lies in the assumption that five years from now XYZ will be selling on the same price-earnings ratio as will the average Dow Jones stock with which they compare it. For thirty years this stock, because of all those factors which make it an outstanding company, has been selling at twice the price-earnings ratio of these other stocks. Its record has been rewarding to those who have placed their faith in it. If the same policies are continued, five years from now its management will bring out still another group of new products that in the ensuing decade will swell earnings in the same way that new products are increasing earnings now and others did five, ten, fifteen, and twenty years ago. If this happens, why shouldn't this stock sell five years from now for twice the price-earnings ratio of these more ordinary stocks just as it is doing now and has done for many years past? If it does, and if the price-earnings ratio of all stocks remain about the same, XYZ's doubling of earnings five years from now will also cause its price to have doubled in the market over this five-year period. On this basis, this stock, selling at its normal price-earnings ratio, cannot be said to be discounting future earnings at all!